

Consumer Behaviour in Response to Price Fluctuations of Potatoes and Onions in
Bangladesh

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Abstract

Consumer behaviour has a significant impact on the dynamics of any marketplace. This research investigates how consumer behaviour has changed in response to price fluctuations in two important commodities, potatoes and onions, in the setting of the Bangladesh market. The study lasts 57 days, beginning on September 10th and ending on November 5th. Data acquired from a middle-class family of six people living in our neighbourhood shows intriguing insights into the complex interaction of price and non-price factors impacting purchasing behaviour.

Keywords: Consumer Behaviour, Price Fluctuations, Staple Commodities, Marketplace, Non-Price Factors

Introduction:

Understanding how consumers react to pricing changes is critical for businesses as well as governments. In the context of the Bangladesh market, where potatoes and onions are staple foods, price variations can have substantial economic and social consequences. This paper seeks to shed light on the dynamics of consumer behaviour about these two important commodities, considering price changes as well as non-price factors.

Data Collection and Analysis:

We performed a survey of a middle-class family of six members in our area to undertake a detailed analysis of consumer behaviour. From September 10th to November 5th, we collected data on potato and onion pricing, demand in kilogrammes, and total expenditures for 57 days.

Table 1: Price and Demand for Potatoes

Date	Price (Tk)	Demand (Kg)	Total Price (Approx.)
September 10	48	7.5	360
September 20	45	9	405
October 03	50	6.5	325
October 10	50	6.5	325
October 20	55	5.5	303
October 29	70	4	280
November 05	65	5	325

Graph for Table 1:

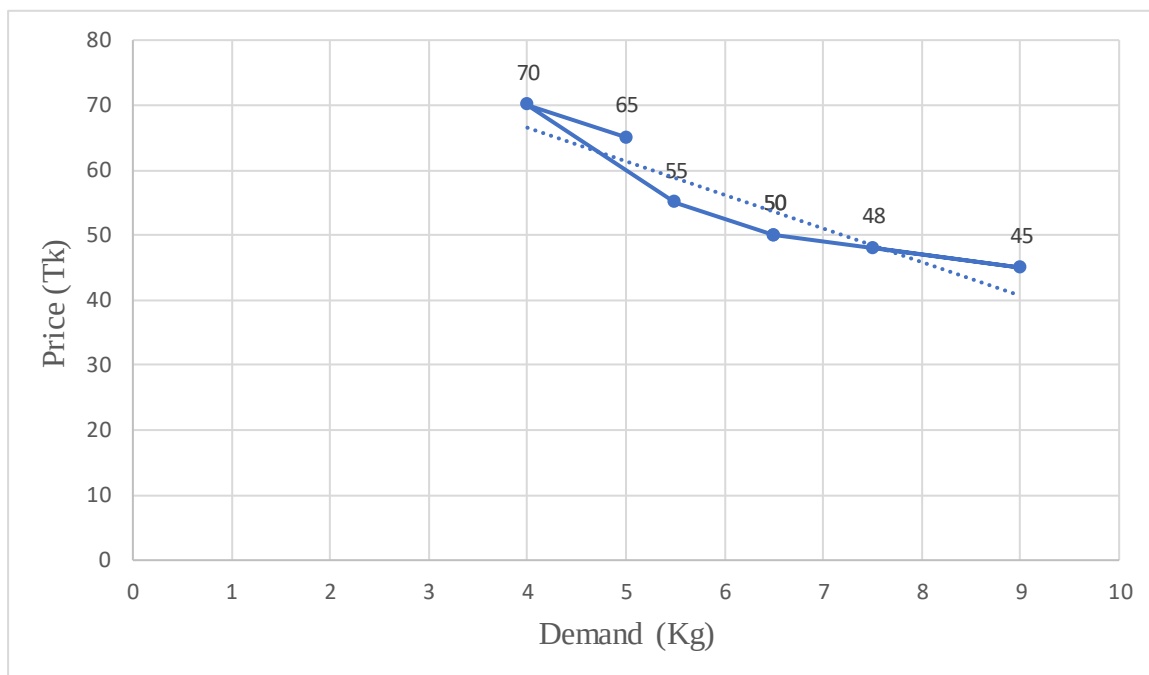
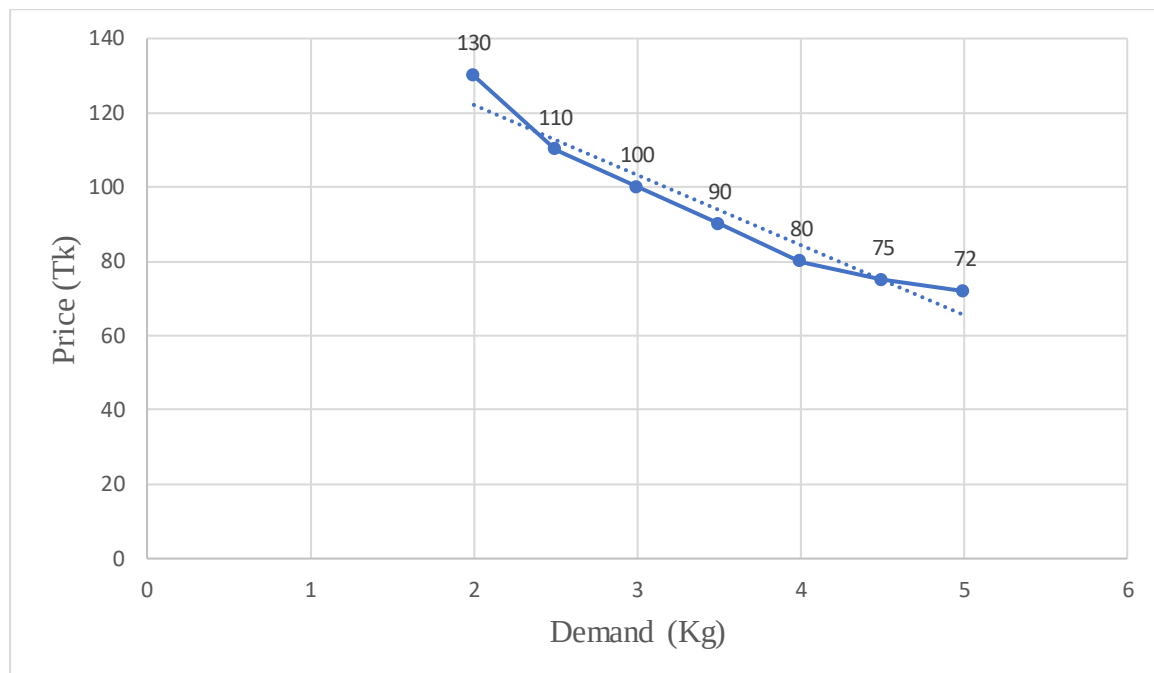


Table 2: Price and Demand for Onions

Date	Price (Tk)	Demand (Kg)	Total Price (Approx.)
September 10	72	5	360
September 20	75	4.5	337.5
October 03	80	4	320
October 10	90	3.5	315
October 20	100	3	300
October 29	110	2.5	275
November 05	130	2	260

Graph for Table 2:



Findings:

Price Sensitivity:

The consumer response to price adjustments is one notable pattern in the data. We found a continuous inverse link between price and demand for potatoes and onions. As prices rose, so did demand, and vice versa. This illustrates that Bangladeshi consumers are price-sensitive when it comes to these key foods.

Non-Price Factors:

While price is an important issue, various non-price factors also influence customer behaviour. Income, consumer preferences, and external factors such as weather conditions affecting crop supply are examples of these factors. During the survey period, for example, we saw that severe rain in October caused a jump in onion prices, resulting in a large decline in demand.

Duration of Observation:

Our poll lasted 57 days to give a comprehensive analysis, including both short-term and long-term variations in consumer behaviour. This time frame allowed us to spot trends and study how consumers' purchasing habits changed over time.

Conclusion:

Our survey of a middle-class family in Bangladesh revealed a complicated link between pricing and consumer behaviour for potatoes and onions. Bangladeshi consumers are price sensitive, with a continuous trend of lower demand when prices rise.

However, it is critical to recognise that non-price factors can have a considerable impact on consumer behaviour. The 57-day observation period provided useful insights into how these factors can cause short-term fluctuations in demand.

Businesses, policymakers, and economists must all understand consumer behaviour. It enables firms to make informed pricing and marketing decisions, while also allowing governments to devise measures to ensure food affordability and market stability.

Finally, this paper emphasises the necessity of taking both price and non-price aspects into account when analysing consumer behaviour in the context of the Bangladesh market, where staple commodities such as potatoes and onions are important to everyday living.

Outro:

As the consumer landscape evolves, more research and analysis are required to grasp the intricacies of purchasing behaviour in multiple markets. The survey data provide a window into the dynamics of customer responses to price variations, and we believe it contributes to a more thorough understanding of the Bangladesh consumer economy.

References

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